

OPEN LETTER TO PREMIER DANIELLE SMITH

Alberta Needs a Provincial Framework for Responsible AI Data Centre Development

Dear Premier Smith:

Alberta's AI data centre debate is no longer about whether communities support technology or economic development. The discussion is now increasingly about whether Alberta has the appropriate regulatory framework for projects of this unprecedented scale.

These are not the industrial developments that we are used to in Alberta. They are massive facilities that consume thousands of megawatts of electricity, require substantial infrastructure, generate large amounts of industrial noise and waste heat, and involve large-scale power plants, battery storage and significant water requirements.

We are not questioning whether Alberta should welcome this type of investment. We support responsible economic development. We support Alberta competing for the jobs, technology and investment that the AI economy can provide.

But Alberta should not confuse **being open for business with being open for anything - anywhere.**

We are asking your government to establish clear provincial rules for the siting and development of large-scale AI data centres **before municipalities across Alberta are forced into making these decisions in isolation one project at a time. Before municipal governments are forced into expensive and divisive battles with their constituents over rules that should be clearly laid out by the province.**

We are also concerned that many rural municipalities may not have the specialized expertise or resources necessary to adequately evaluate the full range of issues associated with large-scale AI data centres, whether those projects require land-use amendments, zoning changes or development permits. Given the significant potential tax revenues associated with these developments, there is also a legitimate concern that fiscal considerations could disproportionately influence local decision-making.

Our volunteer, resident-led group has been directly engaged with an AI data centre application in Vulcan County and has experienced firsthand a number of issues that we believe could have been avoided through clearer provincial standards and guidance. The process has ultimately led us to file an application for judicial review seeking judicial consideration of the County's decision-making process.

We respectfully ask your government to establish a clear provincial framework for the siting and regulation of large-scale AI data centres to assist municipalities in their consideration of these types of applications. This will also be a benefit to developers as they should have clear guidelines and standards.

The Conflict is Already Here and is Getting Worse

Across Alberta, communities, municipalities, developers and provincial regulators are now being drawn into lengthy and increasingly contentious disputes over where and how AI data centres should be developed.

The public are voicing remarkably similar concerns: inappropriate siting, water consumption, agricultural land loss, continuous industrial noise, environmental impacts, power generation, emergency response, community compatibility and lack of meaningful public consultation.

The fact that these same issues are emerging in Olds, Rocky View County, Vulcan County, Wheatland County and Wonder Valley demonstrates that this is not simply a dispute between individual developers and individual residents. They are symptoms of a regulatory framework that has not kept pace with the scale and nature of AI data centre development. **It is a provincial policy gap.**

Municipalities are developing their own rules in isolation while being heavily influenced by the promise of future tax revenue. Communities are very frustrated by this. They are spending enormous amounts of time and money trying to determine whether existing municipal rules are adequate for AI data centres. Residents are seeking legal advice, participating in regulatory hearings and, in some cases, requesting judicial reviews (as is our case in Vulcan County).

This is an extraordinarily inefficient way to regulate an emerging industry.

Alberta taxpayers should not have to fund repeated planning battles.

Communities should not have to hire lawyers simply to establish whether a massive industrial facility belongs beside their homes, farms, lakes, parks or environmentally significant areas.

Alberta has an opportunity to learn from the lessons of earlier resource-development eras. **We should establish clear rules now, while the industry is still emerging, rather than wait until projects are entrenched, communities are divided, taxpayers are exposed to long-term liabilities, and municipalities and developers are tied up in costly disputes and litigation.**

We believe Alberta needs the following:

1. Mandatory Development Criteria

The Province should establish minimum development standards to which municipalities can rely upon for guidance when considering land use planning issues, zoning amendment changes or development permit applications. These development standards should include:

- (a) minimum siting standards addressing matters such as minimum setbacks (ie 5 km) from:
 - residences and established communities
 - provincial, regional and municipal parks
 - lakes, reservoirs, rivers and other water bodies

- environmentally significant or environmentally sensitive areas
- schools, day camps and religious facilities
- (b) Noise and **low-frequency noise** standards (not just maximum noise levels but also consideration of low frequency emissions);
- (c) Light pollution and visual-impact standards;
- (d) Fire and emergency-access requirements;
- (e) Emergency evacuation and emergency-response requirements with an independent assessment of the municipal capacity;
- (f) Battery Energy Storage System setbacks and emergency planning;
- (g) Water availability and competing agricultural demands;
- (h) Wastewater and cooling-water requirements and / or restrictions;
- (i) Grid and electrical infrastructure impacts;
- (j) Natural-gas generation requirements and emissions;
- (k) Traffic and road capacity; and
- (l) Cumulative effects where multiple industrial projects already exist.

Given the size and scale of the power plants associated with the AI Data Centres, we feel that the **minimum standards should start at a 500 MW facility**. Establishing a meaningful minimum threshold would help prevent the proliferation of numerous smaller facilities across rural Alberta and instead encourage the development of strategically located, large-scale facilities that can meet consistent provincial standards for power, water, land use, environmental protection, infrastructure and community impacts.

For context, 500 MW this is the same size facility as the Genesee Unit #1 Power Plant in Alberta as seen below.



Source: Capital Power Website.

2. Take the Right Place, Right Rules Approach

Large data centres ideally should be directed toward appropriately planned industrial areas with the necessary power, water, transportation and emergency infrastructure. A facility of this scale should not be allowed to be located wherever a developer happens to find available land.

Today, many AI data centre applications appear to be driven by land speculation rather than sound planning and siting principles. Landowners may seek to increase property values by positioning their land for sale to well-funded developers. As a result, sites are often selected based on land ownership rather than suitability, infrastructure, environmental considerations, and compatibility with surrounding communities. This is contributing to significant public concern and opposition.

Sturgeon County has already recognized this principle in its approach to data centre development by placing its AI data centre within an industrial corridor. We should learn from their success and replicate it across the province.

3. Complete Applications – No Missing Information Allowed

Municipalities should not be required to devote enormous amounts of staff time, taxpayer resources and public meeting time to projects where critical information is still incomplete.

Before a data centre project proceeds through a major land-use process, applicants should clearly demonstrate:

- power availability & onsite generation plans
- start up power requirements and duration
- water requirements
- complete site plans
- environmental impacts
- fire and emergency planning
- a realistic development plan
- ultimate facility size and build-out including additional potential knock on projects
- natural gas requirements
- battery energy storage systems requirements
- cooling technology and water consumption
- wastewater requirements
- noise modelling
- facility light assessment for dark sky impacts
- visual modeling as residents have a hard time understanding what this looks like
- environmental and wildlife assessment
- fire and emergency response plans
- traffic and road requirements
- visual impact assessment
- construction impacts
- a realistic construction and development schedule
- sufficient technical / prefeed engineering information to demonstrate that the project is capable of proceeding
- cumulative effects of current and future development projects that could be associated later on with this project

There is a risk that municipalities without the necessary experience or specialized expertise may defer difficult planning and technical issues to subsequent regulatory or development-permit processes, with the expectation that those issues can be addressed later through the Alberta Utilities Commission.

This approach risks placing fundamental land-use planning and zoning questions into later-stage approval processes where they may no longer be appropriately considered.

Issues such as land-use compatibility, appropriate siting, setbacks, infrastructure requirements and impacts on surrounding communities should be resolved at the appropriate planning stage—not deferred to the development permit or subsequent regulatory application.

The result can be that incomplete or insufficiently assessed applications advance much further than they should, consuming significant municipal, regulatory and community resources and creating unnecessary uncertainty for both residents and proponents.

The public cannot meaningfully participate in a hearing when the fundamental facts of the project are still evolving. This has been the challenge in Vulcan County. This is one of the primary reasons why a judicial review application was filed.

4. Minimum Qualification Thresholds to Prevent Speculative Applications

Alberta needs rules that **prevent speculative applications from consuming public resources.** Land speculation is real. Inexperienced, unqualified and poorly capitalized property owners may look to maximize the value of their land by pushing AI data centre applications as far as possible through the approval processes in order to maximize the sale price for their land.

Developers seeking approval (whether land use amendments, zoning amendments or development permits) for projects of this scale at an early stage should be required to demonstrate:

- credible financial capacity to initiate the project (ie \$50 to \$100 MM to establish the prefeed engineering, environmental and regulatory requirements)
- demonstrable experience and qualification
- evidence of committed or reasonably secured financing
- identification of the ultimate owner/operator

Alberta should not allow municipalities to become the testing ground for speculative data centre projects. These projects can consume enormous amounts of municipal staff time, taxpayer-funded planning resources, legal expenses and community volunteer time before it is even clear whether the project is financially viable or will ultimately proceed. Clear provincial qualification standards would protect municipalities from unnecessary costs while ensuring that legitimate, well-capitalized investment can move forward efficiently. **The goal should be to eliminate speculation, not investment; to accelerate credible projects, not applications; and to ensure that Alberta's planning system is prepared for the scale of the AI industry that is now arriving at our doorstep.**

5. Protect Water and Our Agricultural Resources

Large-scale data centres should have to demonstrate the source and annual consumption of water and demonstrate that their requirements will not unnecessarily compete with agriculture or other essential uses. Agricultural land use loss should not only include the location site, but future loss of irrigation land associated with the diverted water to the AI Data Centres.

The Province should require a comprehensive water assessment for any large-scale facility demonstrating:

- clear public notice and consultation with the affected agricultural sector
- annual water consumption & source of water
- drought implications
- impact on watershed capacity
- treatment requirements
- wastewater disposal
- maximum permitted consumption

6. Clarify Water Use

Your recent Facebook post suggests that modern AI data centres barely use water because they operate with sealed liquid-cooling loops and air cooling. While some of the newest AI data-centre designs incorporate closed-loop, direct-to-chip liquid cooling that can substantially reduce or eliminate evaporative water consumption for cooling, this is not applicable to every data-centre design. Cooling technologies vary significantly according to facility design, climate, scale and operational requirements. Some facilities continue to rely on evaporative or other water-based cooling systems – as seen with Vulcan County’s large water volume request.

Achieving very low water consumption may require the use of water-efficient cooling technologies, including closed-loop systems, air-cooled systems or, depending on the design, industrial refrigeration or chiller systems. These alternatives can involve higher capital costs, increased electricity requirements and additional electrical infrastructure. As a result, there may be economic and infrastructure considerations when comparing low-water cooling options with more conventional systems. Our understanding is that this typically would be more expensive and require more power build out which may make the design cost prohibitive when compared to other jurisdictions.

Our real concern here is that the community should not be asked to accept assurances—we should be provided with engineering verified, project-specific numbers showing exactly how much water this facility will require at full build-out, where it will come from, and what happens to that water once it is contaminated.

7. Specific Noise Standards

Data centres operate continuously. Cooling systems, fans, mechanical equipment, transformers and power-generation equipment can create continuous industrial noise. There is a large concern

here with the constant low frequency humming sound that has been seen with the US data centres. Low-frequency tonal hums contribute very little to overall standard dBA decibel readings, meaning facilities often technically pass local noise regulations while severely disrupting nearby communities. Low-frequency noise also travels much further than normal industrial noise.

Standards should address not only average noise levels, but **low-frequency and tonal noise with 24-hour operation**. This should include all of the equipment onsite – including the back up generating equipment. This should be based on actual operating conditions, not simply average daytime conditions.

8. Comprehensive Fire and Emergency Planning

Where facilities involve natural-gas power generation, battery energy storage or other high-energy infrastructure, local emergency services must have effective equipment, training, water supply and access necessary to respond.

Before approval, applicants should demonstrate that local emergency services have adequate equipment, training, and water supply. Appropriate access and evacuation routes need to be clearly identified as well as sufficient resources to respond in a timely manner to a major incident.

Emergency planning should be a prerequisite to approval—not something communities discover after operations begin as seen by our recent experience at the Travers Solar Farm.

On March 7th, 2026 a significant fire was attended by fire services of no less than six local communities. The exact location was confirmed as starting in the solar panels on the SE 7-15-20W4. This fire exhibited fast-moving behavior and jumped RGE RD 205 and **consumed approximately 160 acres** before it was contained. Source: Access to Information Act, Disclosure response.

Firefighters lacked sufficient water and foam chemicals (for electrical fires near the solar panels) and did not have proper access to the site.

9. Meaningful Public Consultation

There should be a mandatory minimum standard for public consultation for projects of this magnitude. While the Municipal Government Act does set advertising requirements, it also may allow a municipality to pass its own bylaws to attempt to circumvent these requirements. This is what happened in Vulcan County. The municipality relied upon its own advertising bylaw to post a note on its website and use a single Facebook post to advertise to the public using the minimum notice period allowable. This is not meaningful public consultation and should not be sufficient notice for a development that could permanently alter the character of a community and surrounding lands. Public participation should not depend on whether residents happen to see a social-media post.

Municipalities should also not be allowed to circumvent the advertising requirements set out in the MGA and the notice period should be meaningful and allow the public to become reasonably aware and educated as to what is proposed and its effects.

Affected residents should have access to the same material information available to municipal decision-makers. And communities should receive the material information before the hearing—not after it. Residents should not have to discover critical project information after they have already been asked to provide their input.

Public participation becomes meaningless if:

- affected residents are not properly notified
- project details change after the hearing
- important technical information is released afterward
- critical studies are unavailable
- residents are expected to respond to an incomplete application or one that is forever changing in scope as seen in Vulcan County

The Province should establish minimum consultation standards for these projects. It has been shown in our Vulcan County case where council voted against directly notifying the offsetting community that **you can not leave this to the discretion of the municipalities.**

10. Require Cumulative-Effects Assessments

A data centre should not be assessed in isolation. Alberta should consider its cumulative impact together with existing wind, solar, transmission, industrial, agricultural and other developments.

Required disclosure should include the complete intended development, including ultimate build-out, power generation, battery storage, water use, cooling systems and associated infrastructure.

A good example of this is the Palliser Grid application in Vulcan County which initially included AESO grid connection, a BESS and diesel power generation back up for full IT load. **The project has since morphed to include natural gas power generation via 1 MW micro turbine units, hydrogen for fuel through onsite electrolysis, a pumped hydro scheme for additional power generation, agrivoltaic build-outs and a thermal management reservoir. None of this was discussed at the public hearing.** Source: Pallier Grid Website August 16, 2026.

One of the greatest weaknesses of project-by-project approval is that each project can appear acceptable when considered in isolation. But **communities experience the combined effect.**

11. Prevent Municipalities from Competing with One Another

Ensure that municipalities are not effectively competing with one another by offering increasingly permissive land-use decisions in exchange for anticipated tax revenue.

- Prevent the race to the bottom where everyone loses. Municipalities should not be able to attract a project by approving a location or relaxing standards that another municipality would reasonably reject.
- Planning decisions need to be separated from anticipated tax revenue. The economic benefits of a project should be considered, but projected tax revenue should not outweigh fundamental land-use compatibility, environmental protection, public safety and community impacts.
- Limit reliance on future variances. A municipality should not approve an industrial designation on the expectation that significant setbacks or other planning requirements can be relaxed later through a development permit or variance process.

Alberta should compete for investment based on the quality of its infrastructure, workforce, energy resources and business environment—not by allowing municipalities to compete with one another over how far they are willing to relax planning standards.

12. Who Regulates Data Centres?

The Alberta Utilities Commission (AUC) is responsible for power plants. The AUC does not approve or regulate data centres. Who does then? **This is another major policy gap** as there does not appear to be a governing body regulating AI data centres in the province.

From the recent Olds Synapse decision:

*11. The Commission is an independent regulator responsible for considering applications for power plants in accordance with its legislative framework.⁴ The Commission must consider whether the proposed project is in the public interest, having regard to its social, economic, environmental and other effects.⁵ While the proposed power plant is designed to serve a co-located data centre and the two facilities are functionally connected, the Commission's jurisdiction extends only to the power plant. **The Commission does not regulate or approve data centres** themselves. Nevertheless, the impacts of a proposed data centre may be relevant where the Commission considers cumulative impacts as part of its public interest assessment of a power plant.*

Should AI data centres be placed under the jurisdiction of the AUC such that the combined effects of the data centres and power plants could be fully evaluated by one governing body?

13. Create a Single, Transparent Provincial Registry

Every major AI data centre should have a transparent publicly accessible online file system containing:

- application documents

- technical studies
- environmental information
- water requirements
- electrical requirements
- noise studies
- emergency plans
- public submissions
- municipal reports
- provincial approvals
- amendments
- conditions of approval
- final decisions

The public should not have to file repeated access-to-information requests simply to understand what is being proposed in their own backyard. Companies should not be able to hide behind confidentiality or non disclosure agreements with the municipalities when residents reasonably need to understand and participate in decisions affecting them.

14. Financial Security for Decommissioning and Reclamation

Alberta should also learn from the experience of the oil and gas industry by ensuring that the eventual decommissioning and reclamation costs of large AI data centres are secured from the outset and not left to taxpayers or landowners when a facility becomes obsolete or a company ceases operations.

We recommend that Alberta establish a mandatory financial security or bonding regime for large-scale data centres, similar in principle to the Asset Retirement Obligation (ARO) framework used in the oil and gas sector.

15. Municipal Accountability and an Accessible Appeal Process

Finally, municipalities must be accountable for complying with the rules that govern AI data-centre development. Establishing provincial standards will have limited value if municipalities do not follow their own bylaws, procedures and applicable legislation. That has been our case with the Vulcan County.

When land is redesignated from agricultural to industrial use, the decision is made through a municipal bylaw and can have significant and lasting consequences for neighbouring landowners and communities. At present, residents who believe a municipality has failed to follow its bylaws, policies or statutory obligations have to seek relief through a judicial review via the courts. **For ordinary residents, a judicial review can be costly, complex and inaccessible.**

Alberta should consider establishing an **independent provincial oversight or an appeal body** with the expertise and authority to review significant land-use decisions before matters proceed to the courts. Such a body could provide an accessible mechanism for affected residents to

challenge procedural or regulatory concerns, while ensuring municipalities remain accountable for following provincial requirements and their own planning frameworks.

A process similar in principle to the **Land and Property Rights Tribunal** could provide an important safeguard—one that is more accessible to ordinary Albertans while still respecting the decision-making authority of municipalities.

Clear provincial rules are only effective if there is also a practical and accessible means of ensuring that those rules are followed.

Conclusion

Alberta should not make every community fight the same battle over AI data centres. Set the rules now. Welcome the investment and the technology. But place these AI data centres in the right locations, under consistent rules, with complete information, credible proponents and meaningful protections for the people and environment around them.

Respectfully,

David Anderson

Little Bow AI Data Centre Committee

And on behalf of concerned residents and landowners affected by large-scale AI data centre development across Alberta.

Note: The Little Bow AI Data Centre Committee would be pleased to share our experience and recommendations with the Government of Alberta and participate in any consultation process necessary to help develop a comprehensive AI Data Centre framework.

The Little Bow AI Data Centre Committee

The Little Bow AI Data Centre Committee is a collaborative, volunteer-led group formed to provide an informed and balanced review of the proposed large-scale AI data centre development in Vulcan County.

The Committee brings together individuals with extensive professional experience across a broad range of disciplines, including **engineering, land and resource development, regulatory affairs, government, environmental and land-use matters, corporate and business leadership, communications and media, and law.**

This diverse expertise allows the Committee to assess the proposal from multiple perspectives—including land-use planning, infrastructure, environmental impacts, public safety, regulatory compliance, economic development and procedural fairness.

The Committee is **not opposed to AI technology or responsible economic development.** Its objective is to advocate for transparent decision-making, appropriate siting, complete and reliable project information, meaningful public consultation, and compliance with established municipal and provincial planning requirements.

We can be contacted at littlebow.aidc@gmail.com